

By Nivedita Mukherjee

Call it a historic landmark or a potential economic bonanza. On the face of it, the India-Asean Free Trade Agreement (FTA) is in every way a win-win deal. It is India's first real entry into a formidable regional trading bloc which is one of the world's largest. The FTA opens up the coveted \$1.1-trillion Asean market to India's exporters as tariffs come down to zero on 4,000 items of bilateral trade, starting from January 1, 2010. At a larger level, this also marks the culmination of

The FTA with Asean and the recent one with Korea are symbolic of India's ambitious agenda of strategic tie-ups in the world through FTAs. India now has 17 more FTAs on its platter, of which only 10 have reached the dialogue table. These include agreements with the European Union (EU), European Free Trade Association and South African Commercial Union, and if Prime Minister Manmohan Singh has his way, these initiatives will follow in quick succession.

That's a lot for a country which takes an average of four to seven years to bring a treaty to fruition, says Biswajit

COSTS AND BENEFITS

Free trade opens up new markets but brings with it the threat of dumping

The Global QUEST

The pact with Asean could well signal the advent of the force multiplier effect in trade, but it's not all rosy going



ANAND SHARMA (CENTRE) WITH MEMBERS OF THE ASEAN AT THE FTA SIGNING CEREMONY

India's efforts over the past decade to frame a durable Look East policy. "The agreement with Asean is well-balanced and is in harmony with India's Look East policy," agrees Anand Sharma, Union minister for commerce and industry. "The interests of India's plantation sector have been fully protected. The Group of Ministers (GoM) will look into what more needs to be done to restore that sector," he adds.

Dhar, Director General, Research and Information System (RIS) for the Non-Aligned and Other Developing Countries. The Asean treaty itself took six years of delays, disagreements and deliberations. Malaysia or Thailand, which have similar pacts with Asean, take, on an average, two to three years.

Bibek Debroy, professor, Centre for Policy Research, pegs the big FTA chase to India's policy of signing some for po-

litical reasons and some for economic. Given the worldwide push towards regional trade agreements, India now accepts them as a politically correct and strong signal of involvement in world affairs. "There are more than 430 FTAs in the world today. More than half of all world trade runs through special trading routes carved out between two or more trading partners," says Debroy. As for Asean, R. Seshasayee, managing



INDIA-CHINA FTA

Year of initiation June 2003

Gain Wider choice of electronics, toys and fabrics for consumers

Worry Tariff cuts may open floodgates for cheaper imports

Status Joint study group finalised in October 2007, report pending with the Government